GMS WEEKLY

Your Source for Recycling News

April 15th, 2022
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Week 15

Highlights:

- **Holidays descend.**
- **Rates firm.**
- **Supply sparse.**
- **Firm charters.**
- **Optimism.**
- **Party retreat?**

QUOTE of the WEEK

"When we strive to become better than we are, everything around us becomes better too."

– *Paulo Coelho*

MARKET COMMENTARY

CONSOLIDATING!

With holidays descending across the Indian sub-continent for Ramadan / Eid celebrations and the rest of the world prepares for Easter weekend, it has been a comparably quieter week in terms of sales and activity.

Levels remain firm in Pakistan and India whilst Bangladesh remains somewhat muted, with domestic steel mills still refusing to engage local yards in negotiations at these higher overall levels, as Bangladeshi steel plate prices start to reflect some of the steel volatility from India.

Notwithstanding, it is expected that the Bangladeshi market will likely come back into the fray once again, especially after a month or so on the sidelines as steel prices (though volatile) remain strongly placed and this has perhaps been a period of consolidation over the traditionally softer month of Ramadan.

Away from the sub-continent waters, the Turkish markets remain muted, with declines in local and import steel, resulting in a quieter and (like the sub-continent markets) a silent week.

Overall, the supply of tonnage also remains rather sparse, with fewer wet (large LDT) units to speak of recently, given that charter rates have picked up significantly on select routes. Dry and Container sectors have also been performing rather well and this has led to an overall decline in firm and workable candidates for most of the year thus far – despite some repeat record numbers at decade-long highs above USD 700/LDT.

As such, the recycling markets remain on a firm footing overall and as the second quarter of the year gets well underway, there certainly seems as though there is still more positivity and optimism moving forward, primarily on account of continually strong showings on commodity prices and a decent demand / capacity to acquire across sub-continent locations. The Ukraine crisis certainly has its place in adding to this recent volatility in fundamentals and it's certainly only a matter of time before this party retreats to more realistic levels.

For week 15 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Improving	670 / LDT	680 / LDT	690 / LDT
2	Pakistan	Improving	660 / LDT	670 / LDT	680 / LDT
3	Bangladesh	Weakening	650 / LDT	660 / LDT	670 / LDT
4	Turkey	Steady	450 / LDT	460 / LDT	470 / LDT

All at GMS would like to wish all our friends and readers an Eid Mubarak and a Happy Easter!

BANGLADESH

MARGINALISED!

Unable to secure.

Ramadan holidays have seen Bangladeshi Buyers marginalised for another week, as both India and Pakistan push on to secure most of the working inventory (market or private units in Cash Buyer hands).

Local steel plate prices, though volatile, remain firmly poised overall. Yet, domestic steel mills are resisting to buy at these higher levels, which is seeing product fail to shift from local recycling yards and subsequently creating a backlog of inventory & slowdown in cutting.

Forced to acquire.

The general feeling is that steel mills may be eventually compelled to acquire at these present rates post-Ramadan, even though high as though they may be, a thorough lack of viable options leaves much to be desired.

NO MARKET SALES REPORTED

INDIA

ENCOURAGED!

The Indian market put on another strong showing this week – perhaps even encouraged by a slower working period from competing sub-continent markets on account of Ramadan holidays and the recent political upheaval in Pakistan.

Strong showing.

Sales have taken place into Alang from existing Cash Buyer inventories, as steel plate prices, though softer mid-week, did end the week higher (about USD 5/Ton). Finally, the currency has regrettably continued to degrade, falling deeper into Rs. 76s against the U.S. Dollar, as the Ukrainian conflict shows little signs of abating – given Russia's recently renewed aggression on the East.

Competing.

Alang Recyclers are now competing on standard vessels once again, even large LDT Aframax and Suezmax tankers, not just specialist non-ferrous units, reefers, offshore tonnage, and HKC sales only.

NO MARKET SALES REPORTED

PAKISTAN

CAPTURING HEADLINES!

Sales ignite.

Pakistan has been on fire of late and this week, a couple of sales captured the imagination of those Owners seeking levels on their units starting with a "7", as the Capesize bulker SUNBEAM (21,018 LDT) was committed at an impressive USD 715/LT LDT, whilst the Aframax tanker ION (16,640 LDT) also fetched an equally firm USD 708/LT LDT.

Both of these sales above USD 700/LDT by optimistic Cash Buyers have yet to find End Buyers at the required levels in Gadani. However, with local steel plate prices firmly planted at record highs and a firm local demand still persevering in Gadani, the Pakistani market has managed to find itself at pole position in the market rankings.

Political turmoil.

The recent political upheaval in the country has certainly consumed most of the domestic headlines in Pakistan, with Prime Minister Imran Khan being ousted after a vote of no confidence, and his successor yet to be formally installed.

The currency too has been a recently developing source of concern for the domestic recycling community as the Pakistani Rupee (which has been historically stable against the U.S. Dollar) suddenly spiked for a brief period. This caused increasing concern amongst local Recyclers (who are already skittish about the Ukrainian crisis) about where their fundamentals might eventually lead them.

NO MARKET SALES REPORTED

TURKEY

SHUFLLE TRUFFLE.

While the industry has been muscle reacting to the ongoing volatility of the Turkish Lira against the U.S. Dollar, steel fundamentals (both import and local) have managed to display impressive gains and even maintain them for the most part.

Steel drops.

This week, however, import steel declined by about USD 10/Ton whilst local steel plate prices plummeted by an eye-popping USD 25/Ton – all while the Lira continues to float around the TRY 14.6X mark as the week ended.

Demand remains firm, local offerings remain at record-highs, and as the weather continues to warm, demand remains firm as local Recyclers remain on the lookout for tonnage.

Lookout for tonnage.

NO MARKET SALES REPORTED

AMAZING FACTS

- *People don't sneeze in their sleep due to their brain shutting down the reflex.*
- *Alaska has more caribou than people.*
- *Oysters can change from one gender to another and back again.*
- *Dead people can get goosebumps.*
- *The Mona Lisa has no eyebrows.*
- *A ten-gallon hat holds less than one gallon of liquid.*
- *The average raindrop falls at 7 mph.*
- *Guy Fawkes is the reason men are called "guys".*
- *Lizards communicate by doing push-ups.*
- *Squids can have eyes the same size as a volleyball.*
- *The average American will eat 35,000 cookies in their lifetime.*
- *Banks have therapists known as 'wealth psychologists' who help clients who are unable to mentally cope with their immense wealth.*
- *Dogs have been banned from Antarctica since April 1994. This ban was made because of concern that dogs might spread diseases to seals.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
May 03 – Eid-Ul-Fitr	April 16 – April 22 May 01 – May 05 May 14 – May 22 May 27 – May 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 29 – Shab-E-Qadr May 01 – May Day May 02 – May 04 – Eid-Ul-Fitr	April 17 – April 20 May 01 – May 03 May 16 – May 19 May 29 – May 31

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 01 – Labor Day	May 01 – Labour Day May 03 – 05 – Eid-Ul-Fitr	April 23 – National Sovereignty and Children's Day

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ALANG - Port Position as of April 15, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Houston	9,089	Oil Tanker	Arrived April 13
2	Iria	24,882	Oil Tanker	Arrived April 15
3	Kigoriak	4,855	Ice Breaker	Arrived March 20
4	Onness	3,215	Oil Tanker	Arrived April 08
5	*Rein*	*816*	*Reefer*	*Beached April 14*
6	Ruby	13,248	Oil Tanker	Arrived April 14
7	*Sea World*	*3,548*	*Oil Tanker*	*Beached April 07*
8	Sormovskiy-40	1,277	General Cargo	Arrived April 13
9	*Vega (Under Tow)*	*25,719*	*Drilling*	*Beached April 13*
10	VS	9,169	Oil Tanker	Arrived April 15
Total Tonnage		**95,818**		

CHATTOGRAM - Port Position as of April 15, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Arctic C	2,214	Reefer	Arrived April 04
2	Basundhara - 8	7,782	Bulk Carrier	Arrived March 20
3	Gala	16,885	Tanker	Arrived February 28
4	*Joffa*	*2,900*	*Tanker*	*Beached April 14*
5	*Ocean Legend*	*971*	*Tanker*	*Beached April 14*
6	Pappy	15,681	Tanker	Arrived April 13
7	Phoenix 1	17,723	Bulk Carrier	Arrived April 11
8	Shengo	4,816	Cement Carrier	Arrived April 14
Total Tonnage		**68,972**		

GADANI - Port Position as of April 15, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	H 1000	8,623	Barge	Arrived April 14
2	Harmony	8,356	Tanker	Arrived April 11
3	*Queen I*	*16,282*	*Tanker*	*Beached April 07*
4	Titan	9,127	Ferry	Arrived April 06
Total Tonnage		**42,388**		

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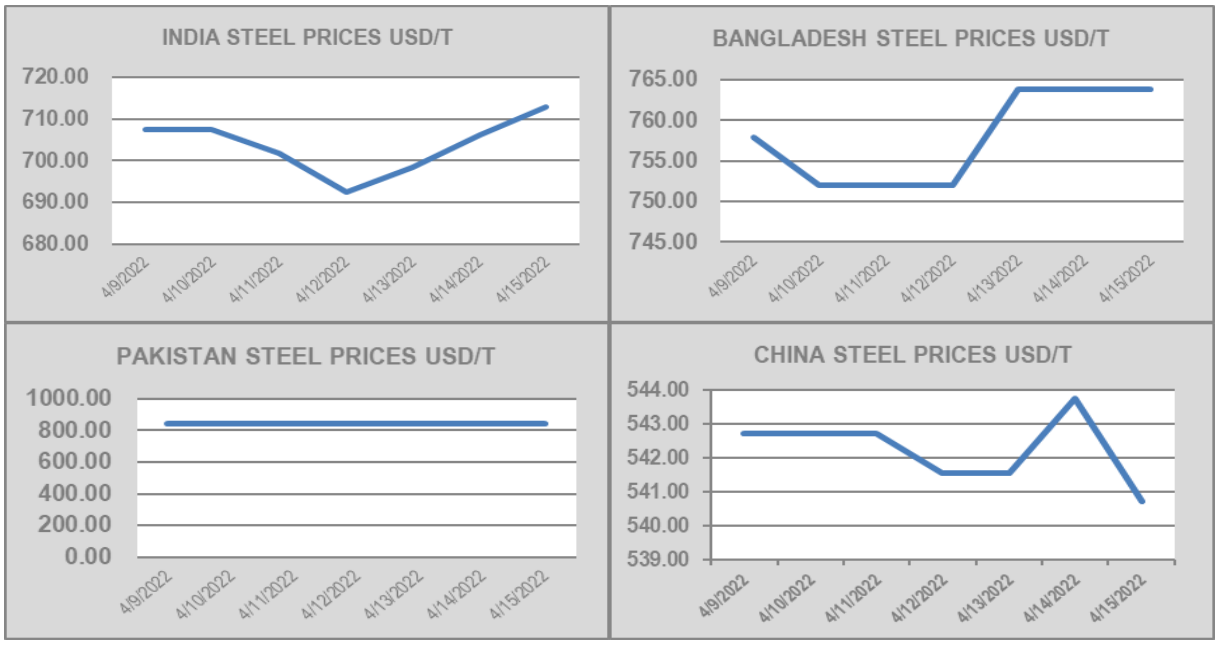
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/9/2022	707.51	53,700.00	845.71	148,000.00	757.93	64,500.00	542.74
4/10/2022	707.51	53,700.00	845.71	148,000.00	752.06	64,000.00	542.74
4/11/2022	701.78	53,300.00	845.71	148,000.00	752.06	64,000.00	542.74
4/12/2022	692.51	52,700.00	845.71	148,000.00	752.06	64,000.00	541.58
4/13/2022	698.35	53,200.00	845.71	148,000.00	763.81	65,000.00	541.58
4/14/2022	706.22	53,800.00	845.71	148,000.00	763.81	65,000.00	543.75
4/15/2022	712.79	54,300.00	845.71	148,000.00	763.81	65,000.00	540.72



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